

August 6, 2026 03:01 PM GMT

Winbond Electronics Corp | Asia Pacific

Strong earnings and announcement of new capex expansion; OW

AlphaSignals Earnings Reaction

Unchanged

Impact to our thesis



Modest upside

Financial results versus consensus



Modest revision higher

Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Key Takeaways

- 2Q earnings beat via pricing – we see ongoing pricing power in both DRAM and SLC NAND/NOR into 2H.
- The additional 50-60k KH fab expansion demonstrates the strong demand for DRAM (16/14/12nm, CUBE and SiCap)
- We like Winbond for estimate revision upside, much better than the mainstream DDR5 and TLC/QLC players

2Q earnings recap – strong GM: EPS came in 27% above our estimate/11% above consensus. Revenue grew 56% Q/Q and 185% Y/Y, mainly from pricing hikes (for both DRAM and Flash). Blended DRAM pricing rose 100% Q/Q. GM came in at 66.2%, OPM at 48.4%. The company expects >50% OPM in 3Q, with ongoing pricing power.

Capacity expansion in KH – for DRAM: Winbond will expand KH module A capacity to the full 24kwpm by 2026 (from 15k). Construction on module B will start in January 2027. Equipment move-in target is January 2029. Total capacity is 50-60k but likely in multiple phases. Products include DRAM and SiCap. The company believes SiCap demand is significant, highlighting COPOS and EMIB applications.

Reiterate OW: Winbond expects SLC NAND demand to increase with 20% mix migration from MLC. We believe old memory players are generating stronger earnings vs. the mainstream companies ([link](#)).

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Asia Summer School 2026

Winbond Electronics Corp (2344.TW, 2344 TT)

Greater China Technology Semiconductors | Taiwan

Stock Rating	Overweight			
Industry View	Attractive			
Price target	NT\$288.00			
Up/downside to price target (%)	68			
Shr price, close (Aug 6, 2026)	NT\$171.00			
52-Week Range	NT\$233.50-16.50			
Sh out, dil, curr (mn)	4,180			
Mkt cap, curr (mn)	NT\$714,780			
EV, curr (mn)	NT\$738,105			
Avg daily trading value (mn)	NT\$20,042			
Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT\$)**	0.88	21.27	38.29	44.69
EPS (NT\$)§	0.86	23.18	42.85	40.93
Revenue, net (NT\$ mn)	89,406	269,908	432,740	493,598
EBITDA (NT\$ mn)	18,234	134,605	234,811	264,903
P/E	93.8	8.0	4.5	3.9
P/BV	3.4	3.8	2.0	1.3
ROE (%)	4.3	88.7	84.5	51.9

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Div yld (%)	0.0	0.0	0.0	0.0
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Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

Valuation Methodology and Risks

Winbond Electronics Corp (2344.TW)

Base case, 6.2x 2026e P/B. This method is in line with the approach we adopt for Greater China memory IDM peers, in view of the industry's high volatility. We believe the stock merits a multiple beyond the high end of its historical band of 0.5-1.5x since 2017, as we are seeing DRAM pricing upside, a sustainable NOR price hike, and opportunities in SLC NAND and SiCap foundry business.

Risks to Upside

- NOR Flash pricing increase, driven by stronger-than-expected demand
- Stronger-than-expected DRAM pricing given ongoing supply shortage
- Faster-than-expected SLC NAND development

Risks to Downside

- NOR Flash downcycle, driven by weaker demand
- Lower-than-expected DRAM pricing given ongoing oversupply
- Slower-than-expected SLC NAND development

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(as of July 31, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
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Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

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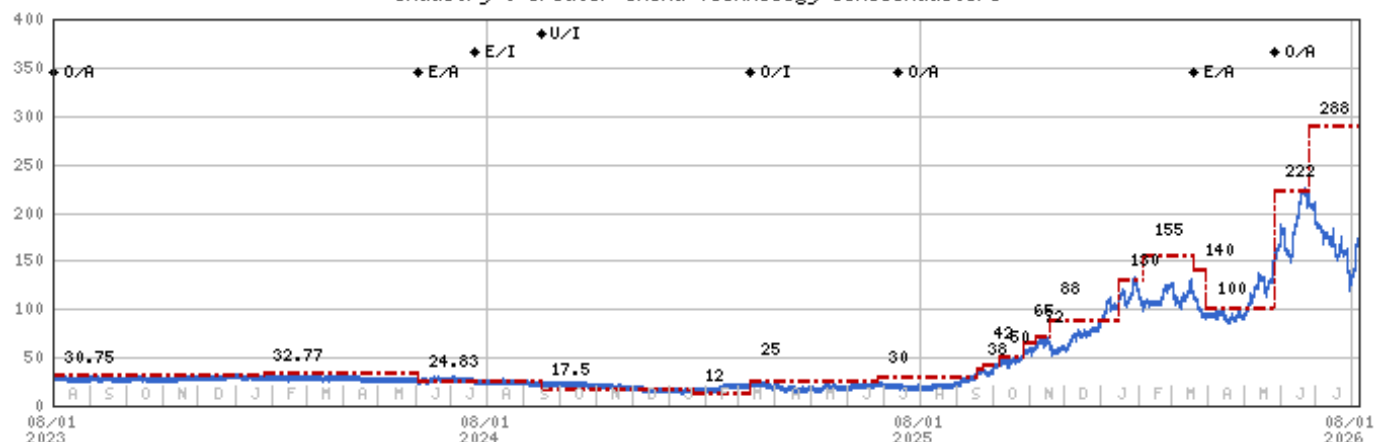
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Winbond Electronics Corp (2344.TW) - As of 08/06/26 GMT in TWD Industry : Greater China Technology Semiconductors



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 Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
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INDUSTRY COVERAGE: Greater China Technology Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/06/2026)
Charlie Chan		
ACM Research Inc (ACMR.O)	O (03/07/2023)	US\$79.90
Advanced Micro-Fabrication Equipment Inc (688012.SS)	O (11/06/2023)	Rmb361.59
Advanced Wireless Semiconductor Co (8086.TWO)	U (07/14/2025)	NT\$123.50
Alchip Technologies Ltd (3661.TW)	O (05/14/2021)	NT\$3,660.00
ASE Technology Holding Co. Ltd. (3711.TW)	O (09/15/2024)	NT\$595.00
Cambricon Technology Corporation (688256.SS)	O (04/27/2026)	Rmb1,168.15
Global Unichip Corp (3443.TW)	O (06/24/2026)	NT\$4,480.00
GlobalWafers Co Ltd (6488.TWO)	E (05/19/2026)	NT\$872.00
Gudeng Precision (3680.TWO)	O (11/25/2025)	NT\$453.00
Hua Hong Semiconductor Ltd (1347.HK)	E (03/12/2026)	HK\$136.70
Iluvatar CoreX Semiconductor Co., Ltd. (9903.HK)	O (04/27/2026)	HK\$450.00
King Yuan Electronics Co Ltd (2449.TW)	O (03/03/2023)	NT\$249.00
Maxscend Microelectronics Co Ltd (300782.SZ)	U (01/11/2021)	Rmb75.38
MediaTek (2454.TW)	O (11/28/2025)	NT\$3,920.00
MetaX Integrated Circuits (688802.SS)	E (04/27/2026)	Rmb722.70
Nanya Technology Corp. (2408.TW)	O (05/28/2026)	NT\$459.00
NAURA Technology Group Co Ltd (002371.SZ)	O (11/06/2023)	Rmb742.50
OmniVision Integrated Circuits Group Inc (603501.SS)	E (11/17/2025)	Rmb89.65
Phison Electronics Corp (8299.TWO)	E (02/25/2026)	NT\$2,025.00
SG Micro Corp. (300661.SZ)	E (11/03/2025)	Rmb106.24
Silergy Corp. (6415.TW)	U (05/19/2026)	NT\$445.00
SMIC (0981.HK)	O (10/21/2025)	HK\$65.35
TSMC (2330.TW)	O (02/07/2022)	NT\$2,365.00
UMC (2303.TW)	O (05/19/2026)	NT\$121.50
Vanguard International Semiconductor (5347.TWO)	E (01/14/2026)	NT\$151.50
WIN Semiconductors Corp (3105.TWO)	U (07/14/2025)	NT\$382.00

Daisy Dai, CFA

ASMP Ltd (0522.HK)	O (07/24/2025)	HK\$161.30
China Resources Microelectronics Limited (688396.SS)	U (03/02/2026)	Rmb58.47
Empyrean Technology Co Ltd (301269.SZ)	E (01/17/2025)	Rmb94.40
Hangzhou Silan Microelectronics Co. Ltd. (600460.SS)	U (08/25/2025)	Rmb31.16
Hygon Information Technology Co., Ltd. (688041.SS)	O (07/03/2026)	Rmb291.05
Innoscence (2577.HK)	E (10/13/2025)	HK\$42.74
JCET Group Co Ltd (600584.SS)	E (01/16/2026)	Rmb75.87
Shanghai Fudan Microelectronics (1385.HK)	O (03/07/2025)	HK\$26.58
SICC Co Ltd (688234.SS)	O (03/20/2026)	Rmb95.60
StarPower Semiconductor Ltd (603290.SS)	E (05/14/2026)	Rmb86.35
Unigroup Guoxin Microelectronics Co Ltd (002049.SZ)	U (01/10/2023)	Rmb66.50
Universal Scientific Ind. (Shanghai) (601231.SS)	O (11/05/2025)	Rmb27.52
Yangjie Technology (300373.SZ)	O (06/10/2022)	Rmb94.03

Daniel Yen, CFA

AP Memory Technology Corp (6531.TW)	O (07/11/2025)	NT\$900.00
ASMedia Technology Inc (5269.TW)	U (10/03/2025)	NT\$1,410.00
Aspeed Technology (5274.TWO)	O (06/09/2025)	NT\$16,750.00
Egis Technology Inc (6462.TWO)	E (01/28/2026)	NT\$100.00
Elan Microelectronics Corp (2458.TW)	O (10/03/2025)	NT\$147.50
Espressif Systems (688018.SS)	O (05/15/2023)	Rmb111.02
GigaDevice Semiconductor Beijing Inc (603986.SS)	O (05/15/2025)	Rmb385.00
Macronix International Co Ltd (2337.TW)	O (09/18/2025)	NT\$129.00
Montage Technology Co Ltd (6809.HK)	O (03/18/2026)	HK\$261.00
Montage Technology Co Ltd (688008.SS)	O (03/18/2026)	Rmb208.36
Novatek (3034.TW)	U (02/04/2026)	NT\$543.00
Nuvoton Technology Corporation (4919.TW)	U (11/10/2025)	NT\$125.00
Parade Technologies Ltd (4966.TWO)	O (05/27/2026)	NT\$605.00
Powerchip Semiconductor Manufacturing Co (6770.TW)	O (10/27/2025)	NT\$66.60
Realtek Semiconductor (2379.TW)	E (01/30/2026)	NT\$744.00
Shenzhen Goodix Technology Co Ltd (603160.SS)	U (07/14/2025)	Rmb52.25
Winbond Electronics Corp (2344.TW)	O (05/28/2026)	NT\$171.00
WPG Holdings (3702.TW)	O (03/16/2026)	NT\$125.50
WT Microelectronics Co. Ltd. (3036.TW)	O (01/27/2026)	NT\$233.50

Duan Liu

Dosilicon Co Ltd (688110.SS)	U (09/06/2024)	Rmb111.90
Shenzhen Longsys Electronics Co Ltd (301308.SZ)	E (02/25/2026)	Rmb366.33

Tiffany Yeh

AllRing Tech Co. (6187.TWO)	O (09/23/2025)	NT\$1,175.00
FOCI Fiber Optic Communications Inc (3363.TWO)	O (01/15/2025)	NT\$604.00
Himax Technologies Inc (HIMX.O)	E (02/04/2026)	US\$13.35
Hon Precision (7769.TW)	O (04/17/2026)	NT\$6,475.00
MPI Corporation (6223.TWO)	O (04/17/2026)	NT\$6,300.00
Silicon Motion (SIMO.O)	O (05/06/2024)	US\$246.65
WinWay Technology Co Ltd (6515.TW)	O (04/17/2026)	NT\$6,775.00

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* Historical prices are not split adjusted.